

25NNCV08014 25NNCV08014

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Case Number: 25NNCV08014 Hearing Date: August 21, 2026 Dept: A

TENTATIVE RULING

AUGUST 21, 2026

DEMURRER; MOTION TO STRIKE

Los

Angeles Superior Court Case # 25NNCV08014

MP: Defendant State Farm Mutual Automobile
Insurance Company

RP: Plaintiffs Artak
Hovhannisyan and Armen Benyaminyan

NOTICE:

The

Court is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is required and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice

may be given either by email at or by telephone at (818)

260-8412.

ALLEGATIONS:

Artak

Hovhannisyan and Armen Benyaminyan ("Plaintiffs") allege that Artak Hovannisyan operated a 2022 BMW 7 Series, which was insured by State Farm Mutual Automobile Insurance Company ("Defendant"). (FAC, ¶9.) On November 19, 2023, the vehicle was parked at or near 11206 Cumpston St. in North Hollywood when it was struck by an unknown motorist who fled the scene without providing any identifying information. (Id., ¶¶2, 9.) Plaintiffs reported the loss to Defendant and submitted all required documentation. Plaintiff claims that Defendant began investigating the claim under a reservation of rights and with unreasonable delay and bad faith to avoid paying Plaintiffs' claims. Plaintiffs appeared for their Examination Under Oath on August 29, 2024. (Id., ¶¶10-13.) Plaintiffs assert Defendant delayed the claim process from September 2024 until February 28, 2025, and finally sent a letter denying their claim for fraud/misrepresentation but without any explanation, a reasonable investigation, or a legitimate basis. (Id., ¶¶2, 13, 14.) Plaintiffs assert Defendant's denial was in bad faith, in violation of the implied covenant of good faith and fair dealing, and unreasonably placed Defendant's financial interest above its insured's contractual rights. (Id., ¶12.)

The First Amended Complaint ("FAC"), filed May 15, 2026, alleges: (1) Bad Faith Breach of Implied Covenant of Good Faith and Fair Dealing; and (2) Breach of Contract.

MOTIONS ON CALENDAR:

On July 21, 2026, Defendant filed a Demurrer and Motion to Strike portions of the FAC. On August 8, 2026, Plaintiffs filed opposition. On August 14, 2026, Defendant filed replies.

LEGAL

STANDARD:

A.

Demurrer

The grounds for a

demurrer must appear on the face of the pleading or from judicially noticeable matters. (C.C.P. § 430.30(a); *Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318.) A demurrer for sufficiency tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.) The only issue involved in a demurrer hearing is whether the complaint states a cause of action. (*Id.*)

A demurrer

assumes the truth of all factual, material allegations properly pled in the challenged pleading. (*Blank, supra*, 39 Cal. 3d at p. 318.) No matter how unlikely or improbable, the plaintiff's allegations must be accepted as true for the purpose of ruling on the demurrer. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604.) But this does not include contentions; deductions; conclusions of fact or law alleged in the complaint; facts impossible in law; or allegations contrary to facts of which a court may take judicial notice. (*Blank, supra*, 39 Cal. 3d at 318.)

Pursuant to

C.C.P. §§ 430.10(e) and (f), the party against whom a complaint has been filed may demur to the pleading on the grounds that the pleading does not state facts sufficient to constitute a cause of action, or that the pleading is uncertain, ambiguous and/or unintelligible. It is an abuse of discretion to sustain a demurrer without leave to amend if there is a reasonable probability that the defect can be cured by amendment. (*Schifando v. City of Los Angeles* (2003) 31 Cal. 4th 1074, 1082.)

B. Motion to Strike

Motions to strike are used

to reach defects or objections to pleadings that are not challengeable by demurrer, such as words, phrases, and prayers for damages. (See C.C.P. §§ 435, 436, and 437.) The proper procedure to attack false allegations in a pleading is a motion to strike. (C.C.P. § 436(a).) In granting a motion to strike made under C.C.P. § 435, "[t]he court may, upon a motion made pursuant to Section 435 [notice of motion to strike whole or part of complaint], or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading." (C.C.P. § 436(a).) Irrelevant matters include immaterial allegations that are not essential to the claim or those not pertinent to or supported by an otherwise sufficient claim.

(C.C.P. § 431.10.)

The court may also “[s]trike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (C.C.P. § 436(b).)

MEET AND CONFER:

C.C.P. §§ 430.41(a) and 435.5(a) require that the moving party meet and confer with the party who filed the pleading that is subject to the demurrer and/or motion to strike. Upon review, the Court finds the meet and confer requirements were met. (Gargalis Decl., ¶¶2-4.)

ANALYSIS

RE DEMURRER:

Defendant

demurs to the First Cause of Action for Bad Faith Breach of Implied Covenant of Good Faith and Fair Dealing on the ground that it fails to state sufficient facts.

“The law implies in every contract, including insurance policies, a covenant of good faith and fair dealing. The implied promise requires each contracting party to refrain from doing anything to injure the right of the other to receive the agreement’s benefits. To fulfill its implied obligation, an insurer must give at least as much consideration to the interests of the insured as it gives to its own interests. When the insurer unreasonably and in bad faith withholds payment of the claim of its insured, it is subject to liability in tort.” (Maslo v. Ameriprise Auto & Home Ins. (2014) 227 Cal.App.4th 626, 633 [internal quotation marks omitted] [discussing breach of the covenant of good faith and fair dealing], 637 [discussing bad faith].) A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself; further, bad faith implies unfair dealing rather than mistaken judgment. (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394; see also id. at 1391 [discussing tortious breach of implied covenant of good faith and fair dealing], 1401 [discussing bad faith denial of contract].)

“[T]here are at least two separate requirements to establish breach of the implied covenant: (1) benefits due under the policy must have

been withheld; and (2) the reason for withholding benefits must have been unreasonable or without proper cause.” (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1151.) “It is now clear under California law that an insurer’s erroneous failure to pay benefits under a policy does not necessarily constitute bad faith entitling the insured to recover tort damages.” (Opsal v. United Services Auto. Assn. (1991) 2 Cal.App.4th 1197, 1205.) The ultimate test of bad faith liability in first party cases is “whether the refusal to pay policy benefits was unreasonable” or “without proper cause.” (Id.)

In the First Cause of Action, Plaintiffs allege that they entered into a written contract with Defendant to provide insurance to the named insured and resident relatives. (FAC, ¶18.) Plaintiffs performed their contractual obligations, including making timely premium payments and cooperating in the claim investigation. (Id., ¶19.) Defendant had a duty to act fairly and in good

faith with Plaintiffs in meeting its responsibilities under the insurance policy, and by promptly investigating any claims and to avoid unfairly denying Plaintiffs the benefits under the policy. (Id., ¶¶21-22.) Defendants allegedly breached their obligation to act fairly and in good faith toward Plaintiffs by: (a) failing to conduct a proper investigation of the subject loss concerning their claim; (b) denying the claim without conducting a proper investigation and/or giving a justifiable explanation and/or reason for denying/delaying the claim; (c) failing to provide Plaintiffs any reasonable or justifiable basis for denying their claim concerning the insurance policy, the facts, or applicable law; and (d) refusing to pay benefits compelled Plaintiffs to engage legal counsel and to initiate litigation to recover such benefits. (Id., ¶23.) Plaintiffs allege Defendant ignored Plaintiffs’ evidence and information and did not attempt to argue his case in good faith during the inter-company arbitration, such that the incomplete and improper investigation amount to bad faith. (Id.) Plaintiffs claim damages and seek punitive damages. (Id., ¶¶24-25.)

Defendant argues that Plaintiffs have not alleged facts showing that Defendant’s conduct was unreasonable because Plaintiffs allegedly presented a claim to Defendant, Defendant investigated the claim, Defendant

determined Plaintiffs misrepresented the facts, and Defendant denied the claim. (FAC, ¶¶2, 9-14.) Defendant argues that Plaintiffs' disagreement with Defendant's denial does not amount to bad faith or unreasonable conduct by Defendant. (Dem. at p.6.)

As currently alleged, the Court finds that the allegations are conclusory and do not allege sufficient facts showing that Defendant acted in bad faith, or that its refusal to pay policy benefits was unreasonable or without proper cause. While Plaintiffs allege that Defendant delayed the investigation and failed to conduct a proper investigation, Plaintiffs also allege that Defendant was in receipt of Plaintiffs' documents, Defendant conducted Examinations Under Oath, sent letters to Plaintiffs to inform them that the investigation was still underway, and ultimately denied the claim. Plaintiff has not shown how a delay in the investigation in itself (or fifteen months of investigation) amounts to bad faith conduct.

The demurrer to the First Cause of Action is sustained with leave to amend.

ANALYSIS

RE MOTION TO STRIKE:

Defendant moves to strike the allegations for punitive damages (FAC, ¶¶14, 15; Prayer ¶6) in connection with the First Cause of Action and attorney's fees (FAC, Prayer ¶11) in connection with the Second Cause of Action. (The FAC actually alleges at 12:1 that the attorney's fees is sought in connection with the "SECOND AND THIRD CAUSE(S) OF ACTIONS," but there is no third cause of action alleged.)

A. Punitive Damages

In light of the ruling on the demurrer to the First Cause of Action, the motion to strike the punitive damages allegations is denied as moot.

B. Attorney's Fees

C.C.P. § 1021 states that attorney's fees are recoverable if

allowed under statute and/or by agreement.

The

Second Cause of Action for Breach of Contract is based on a written contract between Plaintiffs and Defendant for insurance.

(FAC, ¶27.) Plaintiff seeks

attorney's fees and costs for Defendant's breach of contractual duties. (Id., ¶30.)

Defendant

argues that Plaintiffs have not identified a statutory or contractual basis for attorney's fees. In opposition,

Plaintiffs clarify that they are not seeking prevailing party contractual attorney's fees based on Defendant's breach of the insurance contract, but instead they seek fees as consequential tort damages under *Brandt v.*

Superior Court (1985) 37 Cal.3d 813.

(See *Brandt*, supra, 37 Cal.3d at 817 ["When an insurer's tortious conduct reasonably compels the insured to retain an attorney to obtain the benefits due under a policy, it follows that the insurer should be liable in a tort action for that expense. The attorney's fees are an economic loss—damages—proximately caused by the tort."].)

As

currently alleged, the Breach of Contract Cause of Action appears to be an ordinary claim for breach and not a claim for tortious breach. The attorney's fees request is brought only in connection with the Second Cause of Action.

Without more, the allegations are lacking that Defendant acted tortiously such that attorney's fees would be considered an economic loss amounting to damages.

As

such, the motion to strike is granted with leave to amend.

RULING:

In

the event the parties submit on this tentative ruling, or a party requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and

entered into the court's records.

ORDER

Defendant State Farm Mutual Automobile Insurance Company's Demurrer and Motion to Strike came on regularly for hearing on August 21, 2026, with appearances/submissions as noted in the minute order for said hearing, and the court, being fully advised in the premises, did then and there rule as follows:

THE DEMURRER IS
SUSTAINED WITH 30 DAYS' LEAVE TO AMEND AS TO THE FIRST AMENDED COMPLAINT'S FIRST
CAUSE OF ACTION

THE MOTION TO
STRIKE IS GRANTED WITH 30 DAYS' LEAVE TO AMEND AS TO THE ATTORNEY'S FEES
ALLEGATIONS. THE REMAINDER OF THE MOTION
IS MOOT AS TO THE PUNITIVE DAMAGES ALLEGATIONS.

CASE MANAGEMENT
CONFERENCE SET FOR AUGUST 26, 2026 IS ADVANCED AND CONTINUED TO NOVEMBER 4,
2026 AT 9:00 AM.

DEFENDANT
TO PROVIDE NOTICE.

IT
IS SO ORDERED.